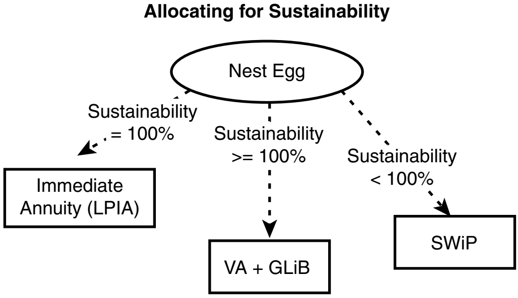

Figure 10.2 Split the nest egg three ways: You decide how.

Source: Moshe Milevsky and the IFID Centre, 2008.

The PrARI® methodology guides individuals in determining the suitable mix for their nest egg. To properly implement PrARI, we need a number of input variables. Retirement age, estimated retirement wealth, desired spending rate, as well as existing pension and social security income are just some of the variables that must be assessed as part of the planning process. Combined, these elements will induce a particular retirement sustainability quotient (RSQ)—this is the probability that the spending strategy will be sustainable and will not result in a spending shortfall. As well, the input variables will induce a corresponding expected discounted bequest (EDB)—the present value of the amount expected to be left to the estate. Moreover, varying the product allocations will change the value of the RSQ (captured by the horizontal X-axis) and EDB (captured by the vertical Y-axis), which then traces out a frontier displayed in Figure 10.3.

Finally, your retirement priorities would be assessed to select your optimal retirement product allocation along the frontier. When trying to pinpoint an appropriate product allocation, a guiding concept should be the economic trade-off that is implicit within any selected product allocation: namely, security for oneself versus security for one's heirs.

Figure 10.4 illustrates this trade-off in retirement for four selected spending rates from 4.8% to 5.8%. Each point along the four lines corresponds to a unique product allocation for a 62-year-old. Note that the precise optimal product allocations were determined using a proprietary algorithm called Optimal Product Allocation for Retirement Income (PrARI) developed by the QWeMA Group Inc.